

08 Financials - Consolidated and Standalone

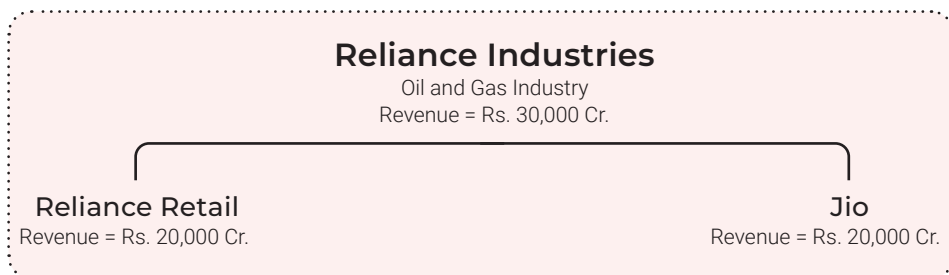
There are two kinds of financials: Consolidated and Standalone.

We will always look at consolidated financials as

$$\text{Standalone Financials} + \text{All Subsidiaries Financials} = \text{Consolidated Financials}$$

The main business operation of Reliance is in the oil and gas industry, where they produce petrochemical goods. They have two subsidiaries: Reliance Retail which earns 20,000 crores, and JIO which also generates another 20,000 crores.

Example: (All values are hypothetical)



Therefore, when we look at the stand-alone financials, we consider the parent company only. So here the total revenues amount to 30000 crores. However, when we talk about consolidated sales, then the sales of subsidiaries will be included as well, bringing the total to 70000 crores. So, when we examine financial statements, we should always look at the consolidated statements.

Standalone = Rs. 30,000 Cr.

Consolidated = Rs. 70,000 Cr. (30,000 + 20,000 + 20,000)

Includes revenue of
Reliance Ind. only

Includes revenues of
Reliance Ind. and its subsidiaries:
Reliance Retail and Jio